

CAPITALIZATION

LO 27-3

List the resources available to capitalize a sole proprietorship.

Sole proprietors/bn are limited in their options for raising money. They cannot sell ownership in their business venture and are typically left with capitalizing their operations in other ways. First, the proprietor's personal resources may provide at least a portion of operating capital. Proprietors may also finance their business through debt. **Private loans** are typically through individuals who negotiate such items as interest rate directly with the proprietor. These loans come from family members and friends and are paid back according to their individual agreement.

Sole proprietors may also raise money through **commercial loans**. A commercial loan is a more formal transaction involving a commercial lender (e.g., a bank) that lends money to the proprietor for business purposes at the market rate of interest over a fixed, relatively short period (5–10 years). This interest rate usually is not negotiable, but commercial loans often carry favorable interest rates. In exchange for the favorable interest rate, lenders typically require **collateral** for the loan. This means that the loan must be secured by an asset of equivalent value typically consisting of the proprietor's personal assets (such as a retirement account).

A close cousin to a commercial loan is a commercial **line of credit**. A line of credit allows the proprietor to draw against a predetermined credit limit, as needed, instead of receiving the full loan amount at one time like a commercial loan. The biggest advantage of a line of credit is that the borrower only pays interest on the funds actually drawn instead of the full amount of a loan. A commercial line of credit is typically secured by collateral. Sole proprietors also use unsecured credit, such as a credit card, to finance operations. Most business owners prefer lower interest rate commercial loans or lines of credit to high-interest credit cards. [Table 27.2](#) summarizes a sole proprietor's options for raising capital.

TABLE 27.2 Capital Options for Sole Proprietors	
Form of Capital	Features
Private loan	Loans from family or friends negotiated directly with the sole proprietor and paid back over a certain term at an agreed-upon rate of interest.
Commercial loan	Loan from a commercial lender with interest tied to market rates and secured with collateral.
Commercial line of credit	Allows the proprietor to draw against a predetermined credit limit as needed, instead of receiving the full loan amount at one time.
Unsecured credit	Credit account with high interest rates (e.g., credit card) that does not require collateral and is paid back in accordance with a nonnegotiable creditor agreement.

✓ QUICK QUIZ Capitalization

Fernandez is a sole proprietor seeking capital to expand his landscaping business. Identify the option Fernandez is using in the following fact patterns:

1. Fernandez uses his personal credit card to buy a new piece of machinery.
2. Fernandez borrows \$1,000 from his wealthy aunt and promises to pay her back with interest at the end of the busy season.
3. Fernandez meets with a loan officer from his local bank and asks for a \$30,000 secured loan to finance a new truck for his business.
4. Fernandez meets with a loan officer from his local bank and asks for a \$30,000 loan that he can draw on to cover operating costs during the slow season. He will only need to draw on some of the loan amount during the slow season and will pay it back after the busy season.

Answers to this Quick Quiz are provided at the end of the chapter.